

VSEUS

Economics Gazette

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Hello Econ Students!

Welcome to this week's edition of the **VSEUS Economics Gazette**. This weekly newsletter is designed for educational purposes, offering reflections and commentary on recent articles to help students understand how today's headlines connect to economics and finance in practice. We aim to foster critical thinking and awareness of the forces shaping our world.

[This newsletter does not constitute financial advice or recommendations to buy, sell or hold investments.](#)

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Macro Overview:

We saw a continuation of the tech selloff in the North American markets. With tech stocks like Google's declining 5% this week. It could be described as a month with investor recalibration, as investors decide on what stance to take in this AI investment cycle. AI companies are committed to continue ramping up Capex. Economic data signaled interest holds in the US, bringing some stability for the USD. On the other hand, the U.S. continues in high tension with Iran, as it moved its aircraft carrier back to the middle east as a negotiation tactic. The US expects to come up with a deal by pointing a gun to its advisor.

Market Performance:

	Current weekly performance	Past week performance
S&P 500	-1.03 %	+0.24 %
TSX	+0.73 %	+0.99 %
	Ending Yield this week	Past weekly Ending Yield
U.S. 10 Year Treasury Yield	4.064%	4.115%

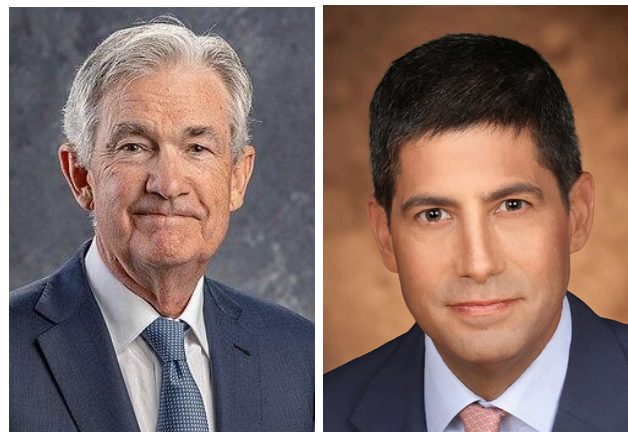


by Goli Eshtiaghi
Research Analyst

To Hawk or not to Hawk. What should the markets expect from Kevin Warsh ?

Overview:

Following his nomination by Donald Trump to succeed Jerome Powell in May, Kevin Warsh's stance on monetary policy has been the subject of debate and speculation among investors and central banks around the world. As the senate deliberates his confirmation, analysts and economists deliberate how he will assume the position of the chair of the Fed. On the one hand, **he has taken up a hawkish stance on monetary policy in the past, especially in the period following the financial crisis when his concerns over keeping inflation stable far outweighed unemployment or economic growth.** His experience on the board of governors coupled with this precedence of hawkish policy brought some solace to investors and kept the US dollar from depreciating further. On the other hand, **Kevin Warsh's relationship with the oval office reinforces the potential for political pressures on the Fed which has translated to a more dovish rhetoric that intends to cut rates while reducing the Fed's role in the American economy.** But what does this mean? How would the new chair conduct monetary policy and what consequences would it have for the US dollar, US economy and the Canadian economy?



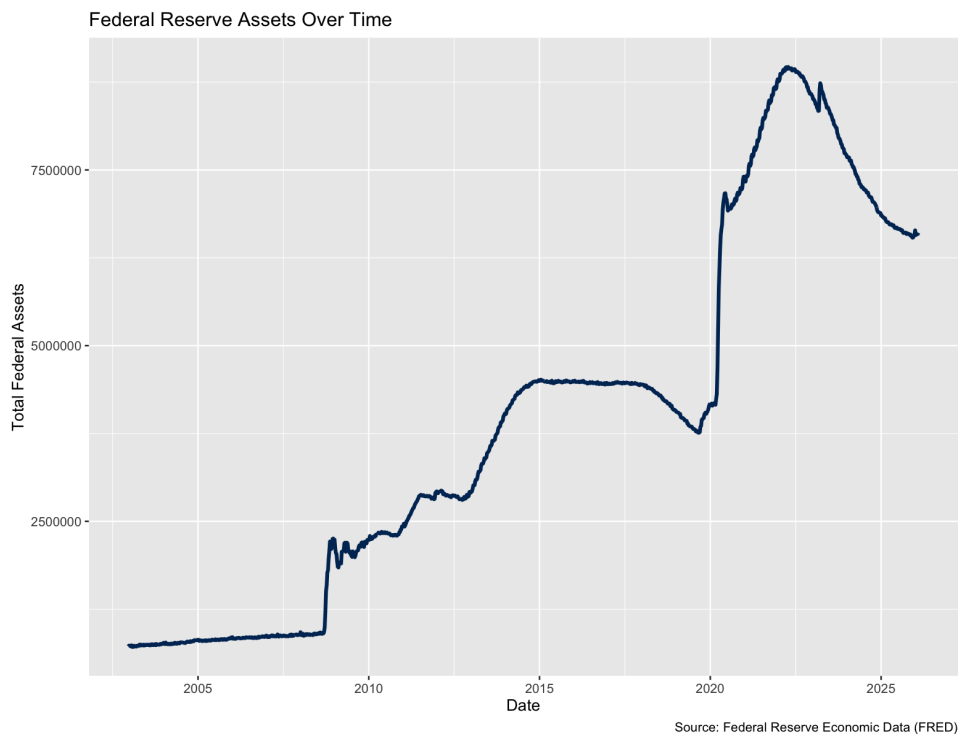
Jerome Powell (left) and Kevin Warsh (right)

What is the Warsh Way?

Unlike the Bank of Canada, the **Federal reserve has a dual mandate. It has a commitment to price stability as well as maximum employment** which creates some debate over which part of the job has to come into focus at different times. At his previous role in the Fed, Kevin Warsh seemed more focused on the former than the latter and took a hawkish stance whereby controlling inflation took priority over securing higher employment rates. But this time around, as Donald Trump pressures Jerome Powell towards lower interest rates, he seems to take a different line. **He signals a dual approach, committing to lower rates while reducing the Fed's balance sheet to reduce its monetary dominance in the U.S. economy.**

Educational Angle

Monetary policy is essentially conducted through two main instruments: **setting policy rates and open market operations (quantitative easing/tightening)**. Policy rates are an all too familiar approach, and their effect spills into the economy through commercial interest rates (e.g. mortgage rates), asset prices, and the exchange rate. But sometimes the policy rate is not enough. During the 2008 crisis and Covid-19 pandemic, lowering rates did not accomplish the economic boost central bankers were hoping for, so the Fed started to buy



assets to further lower interest rates (quantitative easing). Kevin Warsh is suggesting the opposite. **He wants to lower rates to boost the economy but reduce the balance sheet by selling the Fed's assets (quantitative tightening).** We can see that this process is already somewhat underway in the figure above. This balance sheet reduction will have interest rate implications in the short-run, but it will also mean that the Fed will have less of a footprint in the US economy as it holds fewer securities

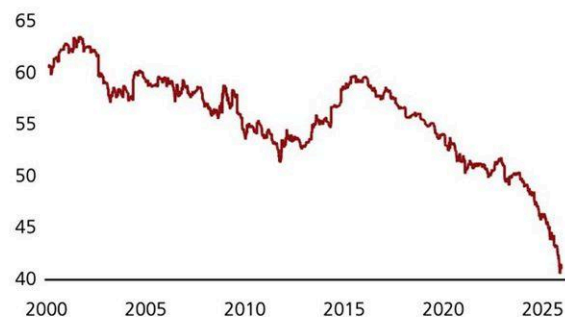
Off-setting Forces?

The idea behind a reduced balance sheet and lower rates is to keep prices stable while also boosting the economy through cheaper credit. But **these tools are not interchangeable and implementing them at the same time may weaken their effects while sending mixed signals to the market.** Shrinking the balance sheet would mean selling mortgage assets which could lead to higher mortgage rates; a clear deviation from what the Trump administration has promised. Meanwhile as demand for U.S. treasuries weakens abroad in the midst of uncertainty, a balance sheet run-off could push yields higher and lead to lower financial stability. There is yet another dimension to the potential outcomes of Warsh's approach. Originally, when political pressures on the Fed began to unfold, the U.S. dollar depreciated as investor confidence eroded. **If Warsh's time as chair proves to be more politically than economically aligned, there could be yet another hit to the U.S. economy as the U.S. dollar depreciates. In the past decade, there has been an almost 10% reduction in U.S. dollar holdings around the world giving way to currencies such as the Japanese yen, Canadian and Australian Dollar.**

Figure 22

Institutions are reducing dollar exposure

Bloomberg Intelligence USD share of global foreign currency reserves, in %



Sources: Bloomberg, UBS, as of 12 November 2025

What could this mean for Canada? On the one hand, this could shift investments to Canada as the Fed's dependence and policy introduce more risk and uncertainty to U.S. investments. This could help boost our economy but also have **inflationary pressures** as the Canadian dollar appreciates. If Warsh's policies end up having inflationary effects in the U.S., we can expect to import some of that as well, and **may witness higher interest rates in Canada to fight it off**. So far, the markets don't seem overtly distressed by the nomination of Kevin Warsh as chair of the Fed. The dollar has held steady and asset repositioning seems to have subsided. But if the erosion of central bank independence is in fact an impending doom, the markets will surely be first to clock it.